

technological advancements. They will coordinate with the Foundation to align on the Network’s technical roadmap and governance. This collaborative effort is intended to ensure that the Network remains secure, scalable, and capable of supporting new features and integrations.

The Technical Council is expected to make contributions to the Network during the transition phases of the Network’s governance, gradually taking over technical responsibilities and facilitating a smooth shift towards a fully decentralized governance model. This phased approach allows for careful planning and execution, preparing the Network’s long-term success and sustainability.

6 WCT Token

The WCT token powers the onchain UX ecosystem, acting as both a reward and governance mechanism within the ecosystem. This section outlines the functionality, fee structures, and rewards associated with the WCT token.

The WCT token has four primary functions within the WalletConnect Network:

- **Fees:** At first the Network will not charge fees, but token holders will have the ability to vote on fees being charged for Network services such as relay usage and other future services.⁵
- **Rewards:** WCT tokens are distributed as rewards to incentivize participation and contribute to Network security and efficiency.
- **Staking:** Participants can stake WCT tokens to earn rewards and participate in governance.
- **Governance:** WCT holders can vote on proposals and changes, giving the community control over the Network’s development through decentralized governance.⁶

WCT token holders will have the power to influence the Network’s direction through governance mechanisms. They will be able to vote on proposals and changes to the Network, allowing the community to have a say in its evolution. This decentralized governance model is designed to foster a community-driven ecosystem.

6.1 Token Transferability

At launch, the WCT token will be non-transferable for all holders. This means that token holders will not be able to transfer their tokens to other wallets or addresses. However, this restriction does not affect then-enabled utilities of the WCT token such as governance participation and staking capabilities, allowing

⁵Fees may be introduced at a later time after approval by WCT tokenholders according to governance proposals and voting mechanisms.

⁶Governance participation will be introduced at a later stage.